

Catch up: Iran denies talks start Monday; Japan and America prop up the yen



Photograph: AFP

Markets in America rallied and crude-oil prices dropped by 5% in anticipation of peace talks between **America** and **Iran**. But while Donald Trump claimed negotiations would resume on Monday, Iran's foreign ministry denied such plans. Mr Trump had already called off further attacks, partially in response to pleas from America's regional partners, including the United Arab Emirates and Saudi Arabia.

Scott Bessent, America's treasury secretary, said that America "will not hesitate" to prop up **the yen** and confirmed that it had done so last week. Katayama Satsuki, his Japanese counterpart, said that the action had been a "joint intervention", and that the countries were ready to do more. Having traded at ¥163 to the dollar on Thursday, the yen has strengthened to ¥155.

Reform UK escalated its anti-migrant rhetoric with a pledge to launch a "military" crackdown on small-boat crossings into Britain if elected. After more than a year leading polls, [Britain's populist-right party](#) recently dropped below the ruling Labour (whose unpopular leader stepped down last month), according to *The Economist's* [poll tracker](#). Its firebrand leader, Nigel Farage, faces growing scrutiny over his personal finances.

Cuba went dark for a fourth time in less than a month after its [entire grid shut down](#). The government did not state a cause for the nationwide blackout, but has blamed the repeated outages on America, which has restricted fuel supplies to the island in an attempt to [break its communist regime](#). A shortage of spare parts is also causing Cuba's [energy infrastructure](#) to deteriorate.

The death toll from a [surge of migrants](#) into the Spanish exclave of **Ceuta** last week reached at least 72. More than 50,000 people crossed the border, but Spain said some 48,000 returned to Morocco within 48 hours. Morocco's interior ministry blamed misinformation on social media for the events. The European Union will hold an emergency meeting on Tuesday to discuss the crisis.

Myanmar's armed forces released photos of a meeting between **Aung San Suu Kyi**, a detained former leader, and a representative of the Red Cross. It said the meeting took place on Monday. In 2021 a military coup removed Ms Suu Kyi's elected civilian government and imprisoned her. She [had not been seen](#) by anyone unaffiliated with the regime since her show trial ended in 2022.

Could you place **Naoero** on a map? The world's third-smallest country by population, a tiny island in the South Pacific, officially changed its name. The government said its previous name, Nauru, was adopted to help foreigners spell and pronounce it, but did not reflect its "heritage", "language" and "identity". Naoero follows [eSwatini](#), which ditched its colonial name, Swaziland, in 2018.

Figure of the day: 36%, Europe's share of global heat deaths, despite having just 10% of the world's population. [Read about how the geopolitics of air-conditioning](#) plays a role.

US in Brief: Todd Blanche scraps \$1.8bn fund



Photograph: Getty Images

Donald Trump's pick to be attorney-general, **Todd Blanche**, published an order saying that plans for a **\$1.8bn "anti-weaponisation" fund** had been dropped. The fund was intended to compensate those who the president says have been unfairly investigated by the government. In another document Mr Blanche, who is currently acting attorney-general, also clarified the limits of Mr Trump's immunity from audits, saying the protection only applied "retroactively" from when it was agreed in May. Two Republican senators, John Cornyn and Thom Tillis, had said they would withhold their support for Mr Blanche's nomination without the written assurances.

The Senate Appropriations Committee agreed to a deal to fund the federal government until December, potentially averting a **government shutdown** in the run-up to the **midterm elections**. Democrats said the bill would exclude some of the Trump administration's requests, such as funding for a fleet of nuclear-powered battleships. Senators could hold an initial chamber vote on the bill today, with a view to passing the legislation before their recess begins at the end of the week.

California's Democratic Party officially backed a motion to introduce a **one-off tax** on the state's 200 billionaires. The measure

would require them to pay a 5% levy on their fortunes. Figures such as Gavin Newsom, California's Democratic governor, oppose the idea on the grounds that it might lead big taxpayers to leave the state. Californians will vote on the [ballot measure](#) in November.

Wildfires destroyed at least 600 buildings in **Washington state**, forcing 60,000 people to flee their homes. Many were also left without power. The fires were especially fierce near Spokane, the state's second largest city; officials said that no deaths had yet been reported but warned that could change given the scale of the blazes. Fires also raged in parts of Idaho and Oregon.

Deal or no deal?



Photograph: ABEDIN TAHERKENAREH/EPA/Shutterstock

He did it again. Donald Trump's administration spent much of last week hinting that America was prepared to launch a massive attack on Iran. But on Saturday the president announced that he had shelved the assault because—why else?—he was on the precipice of an agreement with Iran. Later he said that new talks to end the war would start on Monday. This [cycle of threat and retreat](#) has become routine over the past few months. Mr Trump had plenty of reasons not to escalate. America's allies in the Gulf feared Iran would hit them hard. Pentagon planners fret about dwindling supplies of air-defence interceptors.

But it is unclear what deal he claims to be close to. The previous agreement, the so-called memorandum of understanding signed in June, collapsed last month after Iran refused to reopen the Strait of Hormuz. Diplomats from Oman have tried to mediate a compromise in which regional countries would establish a consortium to control the strait. But Iran rejected the idea. The cycle continues.

A status check for summer travel



Photograph: Getty Images

Three travel companies, Marriott, Booking Holdings and Airbnb, all report earnings this week. Their results will help investors assess a summer-holiday season unusually affected by global events. Strong demand from World Cup fans in North America was good news for hoteliers. Dampened Middle East sales due to America's and Israel's war with Iran was not.

If the second-quarter earnings posted last week by Hilton, a competitor, are anything to go by, the upcoming crop of results will be decidedly mixed. Hilton beat Wall Street expectations, in large part due to strong demand from football fanatics. Yet revenues per available room, a key industry metric, in the Middle East were lacklustre. They were in China, too, chiefly because of restrictions on outbound group tours—most notably to Japan, following a series of [diplomatic spats](#) over Taiwan. Such factors may explain why, despite rising revenue, Hilton's stock fell more than 3% on the results. There's no checking out from geopolitics.

What next for the boss of the beautiful game?



Photograph: AFP

Just a fortnight ago, Gianni Infantino—the head of FIFA, football’s governing body, —handed [Spain](#) the World Cup trophy in a jubilant mood. The tournament had been contentious, but it also raked in a record-breaking \$15bn. Yet Mr Infantino wanted more. Last week he unveiled a plan to sell stakes in a new entity, valued at \$20bn, to help run the World Cup and unlock “previously uncaptured commercial value”.

This proved to be an own goal. Pushback was fierce, led by football associations across Europe, Asia and the Americas who were incensed by both the concept and the lack of consultation. The furore forced FIFA to withdraw the plan on Friday. But the fallout will probably last longer: some of the organisation’s members hope to dismiss Mr Infantino in the coming weeks (he faces re-election in 2027) and are calling for governance reforms. The organisation, though, is [no stranger to scandals](#). Mr Infantino may get a red card, but that won’t necessarily change the game.

Attempts to take over easyJet hit turbulence



Photograph: Getty Images

A battle over easyJet may soon be concluded. The initial takeover bid from Castlelake, an American investment firm, was £5.60 (\$7.55) a share—several overtures later, easyJet’s board finally accepted a boosted offer of £6.90. But a couple of days later Apollo, another American investor, swooped in with a bid of £7.15 a share, which the board then accepted instead.

On Monday easyJet gave Castlelake until Friday to raise its bid or take off (the original deadline was Monday). Who wins will be consequential for the airline. Castlelake may want the company to be [broken up](#): easyJet’s holiday business, current fleet and order book for new planes are all significant assets. But Apollo has pledged to stick with the company’s current strategy of upgrading its planes and expanding its holiday packages. This, it reckons, could generate £1bn in pre-tax profits in the medium term—meaning it will take Apollo a little while to recoup the total £5.7bn it is currently offering.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Monday: What happens on the Orient Express in the title of the Agatha Christie novel?

*Better to doubt methodically than
to think capriciously.*

Stanley Baldwin